Super 301 still affected India's export which again was a disturbing factor in Indo-US relations which was only removed in 1994. Relations saw set back by the passing of Pressler Amendment in 1995 regarding sale of 28 F-16 aircrafts to Pakistan. Again supply of nuclear fuel to Tarapur reactor suffered, cryogenic sales was hit and the issue of Super 301 resurfaced, which created discomfort between the two.

In 1998, relations totally took a reverse turn with the Pokhran II explosion and India's refusal to sign the CTBT during the tenure of Vajpayee Government. However, due to increased functioning of terrorists in Pakistan, the US stance towards India began to change and President Clinton visited India in March 2000. When President Bush assumed the office in 2001, despite several irritants did not stop searching for avenues for new relationship with India. Only after 9/11 attacks on the United States and the 13 December attack on the Indian Parliament that Indo-US relationship took a new turn as both pledged to fight against international terrorism.

India and the US both agreed to foster military cooperation according to the Kickleighter proposals. However, differences over reforms of US, supply of
F-16s to Pakistan, GATT negotiations, Cryogenic engine sales, refusal to supply nuclear fuels for Tarapur reactor, imposition of tariff restrictions of India's textile exports and other issues persisted. Relations took off significantly in the 1999–2000. In 1999, both India and USA entered into Bilateral Extradition Treaty, Treaty on Mutual Legal Assistance in Criminal Matters and several defence cooperation deals. President Clinton visited India in March 2000, and Prime Minister Vajpayee visited the US in September. In 2001, the US lifted the nuclear sanctions. In 2002, a major milestone was achieved when Vajpayee and Bush met in New York. They identified sectors of cooperation like high technology, space research, civilian nuclear technology, economic, defence and also addressing various global issues. In 2002, National Security Strategy was agreed upon and in January 2004 President Bush announced 'Next Steps in Strategic Partnership' (NSSP) with India. With these India acquired the status of 'strategic partner' of the US.

The year 2008 is important in the sense that with the assistance of